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ELCA's Series A

In early August 2023, Vu Phong and Xavier Silva, the two co-founders of ELCA (English Language Coaching Assistant), met in a coffee shop in Sacramento, California to discuss their options after two intense months trying to raise the funding they needed to grow. Despite the recent downturn in venture markets, their efforts to pitch investors on the potential of their AI-based interactive speech coach had finally paid off when they secured two Series A term sheets. They had a great relationship with Ling Jeffries at Sacramento Tech Ventures (STV), who promised a hands-off approach, but wondered whether David Jackson's experience with other successful EdTech startups at Education Scale Ventures (ESV) was what they needed to succeed in the next stage. The term sheets they offered seemed to have some important differences, too. They were coming up on the deadline to decide on the offers and they had a lot to mull over.

Building ELCA

Phong and Silva founded ELCA three years earlier, building upon an idea of Phong's. Phong grew up in Vietnam, learning English for over 20 years. While she excelled at reading and grammar, getting the highest English scores in her school, Phong struggled to speak the language and be understood by professors and classmates when she moved to the US for business school at Stanford. With her self-confidence weakened and a feeling of not being able to fully immerse herself in the new environment, Phong hired a speech coach. The teacher identified mistakes in her speech and instructed her how to speak English more clearly. Phong saw that there was a very large market for English-language coaches but that few learners could afford a language coach at $150/hour. Phong envisioned a tech-enabled spoken language learning tool, with the goal of making speech training accessible to the one billion English learners like herself around the world at a fraction of the cost of a language coach.

Knowing that she did not want to start a company on her own, Phong went on a targeted search for a technical co-founder to complement her skills. When she met Silva in Europe, the idea for ELCA immediately resonated with him. His extensive experience in voice recognition technology made him the ideal co-founder. Convinced by the potential of the idea, Silva almost immediately moved to California to start working on building the product.

Professors Anke Becker, Raymond Kluender, and William R. Kerr prepared this case. It was reviewed and approved before publication by a company designate. Funding for the development of this case was provided by Harvard Business School and not by the company. Certain details have been disguised. Sacramento Tech Ventures, Ling Jeffries, Education Scale Ventures, Jorge Rodriguez, and David Jackson are fictional. HBS cases are developed solely as the basis for class discussion. Cases are not intended to serve as endorsements, sources of primary data, or illustrations of effective or ineffective management.

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The founders split the equity 60% to Phong and 40% to Silva, with both subject to five-year vesting. Vesting was 65% complete in August 2023. Beyond two non-dilutive grants, the only financing the founders had raised was a $1 million SAFE note in late 2021.[1] The SAFE would convert to an equity stake at a 20% discount to the share price set at the Series A, with a post-money valuation cap of $10 million. The investor, Jorge Rodriguez, was a local high-net-worth angel who did not play a role in ELCA and had no control rights. Phong remarked: "We have been frugal with a capital F, including personal salaries of $2,000 per month. We moved to Sacramento from the Bay Area to keep housing and living affordable. The pandemic also helped because no one questioned if we were working from home and only doing meetings via Zoom."

The team made significant progress with ELCA. Existing technologies like Siri, Google, or Alexa were not adaptive enough to accurately understand people who spoke English with heavy accents. Thus, the founders had developed and built their own voice recognition technology. Phong recalled: "We got our hands on as many speech samples from non-native English speakers as possible to feed into the AI model and benchmark against standard American English. From politicians to YouTube creator wannabes, we listened to it all. We also identified early that student teams globally could be harnessed in this effort for school projects at no cost to us." To further manage expenses, Silva contracted with part-time overseas techies, whom he knew from his past work.

ELCA's subscriber growth began slowly but took off after winning a prestigious venture contest in 2021. More than 40,000 users from all over the world signed on to their prototype app within 24 hours of the contest, giving them access to a breadth of voice data needed to accelerate development. The product continued to spread virally afterwards, with registrations exceeding 370,000 in August 2021. Monthly active users and daily active users numbered nearly 150,000 and 30,000, respectively, in 2023. The app provided users with about 80 different short lessons for a monthly subscription fee of $5. Free users could access one lesson every two weeks but with reduced functionality.

After months of balancing limited funds against a growing number of users, pressures grew in early 2023 to secure venture funding for ELCA. Even though new lessons were added regularly, they were not added fast enough to maintain users' interest nor their willingness to pay beyond one to two months. The personal finances of the two founders were also increasingly strained.

The founders regularly solicited feedback from early users through the app. Users generally reported the lessons to be instructive and more than 90% reported that they made substantial progress with their spoken English after just a few lessons. However, more and more users were asking for a greater variety of lesson types and for gamified content. Moreover, ELCA users – primarily adults between 18 and 45 years of age – were concentrated in a few regions. Japan and Vietnam made up a little more than half of the users, followed by the US and Latin America with about 15% each.

For ELCA's viral success to continue, Phong and Silva estimated they needed $4.5 million in venture financing for the next two years, with the target for ELCA to achieve $6 million of annual revenue in 2025 after this effort. This funding would be used for several purposes, starting with a significant growth in team size. Under Silva's leadership, they planned to assemble a full-time technical team of five coders to build out the backend infrastructure, correct accumulated technical debt, and provide new features. They also wanted to hire two full-time content creators to work with Phong to bring lessons to the market faster and enhance customer service. Finally, the founders planned to raise their

[1] SAFE is an acronym for Simple Agreement for Future Equity. Popularized by Y Combinator, SAFEs provided a mechanism for investors to place money into ventures for an equity stake that will be determined by the valuation established by a future financing round. SAFEs were faster and cheaper than traditional convertible debt in the early stages of a company's journey.

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personal salaries to $90,000 annually, which they argued remained well below normal compensation for key leaders in early-stage ventures.

The founders also budgeted for several operational investments, including supporting the rising costs of ELCA's IT infrastructure and potential payments related to emerging Generative AI vendors as they incorporated these technical capabilities into their product. Most significant, however, was advertising. An early test with 300 users via Google search in the US had given an LTV/CAC ratio of 2.6, but the founders hypothesized that this figure could vary significantly across markets and demographic cohorts. Believing they had product-market fit, the founders planned to invest heavily in customer acquisition with the stretch target of more than 100,000 paying users and one million total users by 2025.

While these were the most pressing issues facing the young venture, Phong and Silva were trying not to lose sight of many unrealized aspects that their long-term vision for ELCA called for. They had launched ELCA as a consumer app, but they also pitched to investors that expanding to a business-to-business model would be a natural next step (e.g., training call center workers, airline personnel, and private tutors). The founders also understood that integrating ELCA into other Learning Management Systems would increase the potential to cater to large enterprises. Moreover, there were still many geographies on the map that were largely untapped.

While the founders believed they would have been heavily courted before the recent venture market downturn, the summer of 2023 was a tougher environment. Silva commented: "Note to self, raise money before the bubble bursts next time!" Nonetheless, they felt lucky to have attracted two offers that would inject the funding they needed for the next stage.

Choosing a Term Sheet

Sacramento Tech Ventures and Ling Jeffries

Sacramento Tech Ventures (STV) was founded in 2004. STV made investments across a range of tech-based opportunities and industries, with a particular focus on firms headquartered in the Sacramento region. Several local university endowments and the state public pension fund noted STV's local focus when discussing why they invested into the fund. Many of its funded ventures included founders relocating from Silicon Valley (about two hours away by car).

STV was in the fourth year of its third investment fund. Its first fund ranked in the second quartile of fund performance for its vintage, while its second fund was first quartile. One observer's calculations placed it into the second decile (top 11% to 20%) for its vintage. The third fund was for $200 million, of which an estimated $75 million had been deployed. Most investments were in software, especially in the vertical software-as-a-service and generative AI sectors.

Ling Jeffries had been a venture investor for almost 30 years, founding STV in 2004 after being an analyst and junior partner at Greylock, a highly respected VC firm. She had a reputation for being savvy and having an extensive network of contacts. She sat on seven boards (including two publicly traded companies), and she told a reporter once that she was "not involved in the details of a business, so long as it is going well," and instead wanted to be a trusted advisor to CEOs seeking to build huge businesses.

Jeffries commented: "Vu is a force of nature, and we have really jelled. I am deeply impressed with the sacrifice and commitment to get ELCA to this stage with limited outside money. She and Xavier

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have been cloistered away and grinding on their project, but now they are ready to begin scaling. STV will help them with the building of the business."

Education Scale Ventures and David Jackson

Education Scale Ventures (ESV) was a new EdTech investment firm with a $100 million first investment fund. David Jackson and two partners founded ESV in 2020 to capitalize on the great potential they saw for digital education that would improve the outcomes for children and adults globally. Through the first three years of the fund's life, ESV made seven small seed investments of $100,000 or less, five Series A investments between $2 million and $6 million each and joined as a co-investor in a Series B investment syndicated by another firm (amount undisclosed).

David Jackson, founder and General Partner of ESV, proposed to join ELCA's board of directors. Jackson had 10 years of EdTech operating experience at Pearson, first in sales and then as a general manager, before spending two years at Coursera. Jackson also served on multiple state and national government advisory boards for adult education. He had received an MBA from Stanford in 2005. Through a contact, Phong was able to speak with another founder also backed by ESV. This founder noted that Jackson was "hands-on and tough but supportive, too." The ESV deal was to be syndicated with a widely recognized venture firm looking to enter EdTech. The syndicating firm anticipated appointing a junior partner to the board as well.

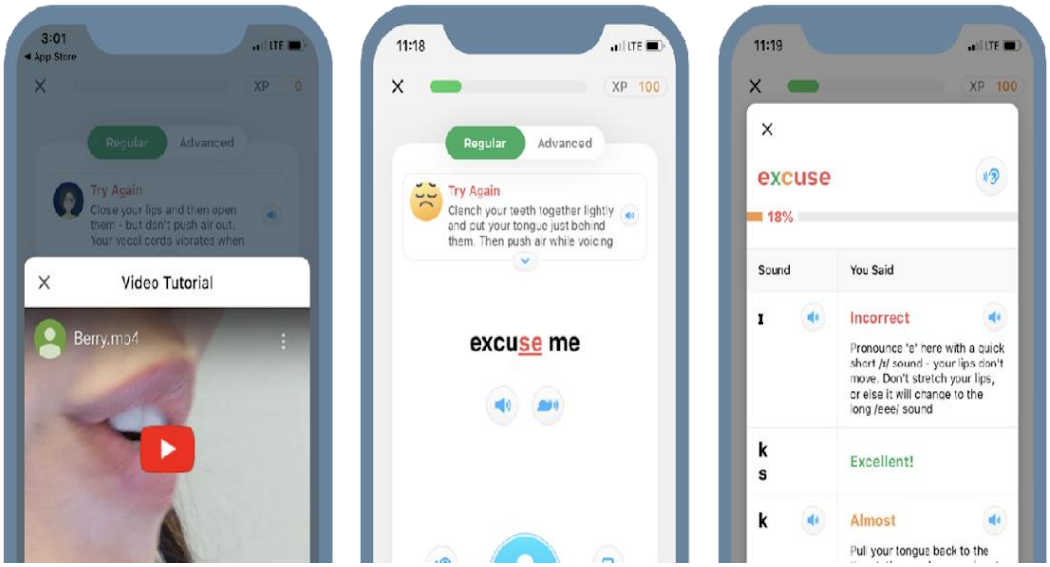
Jackson commented: "We estimated the total English language learning market to be $65 billion in 2022, with 40% for adults and 60% for kids. It is growing 15% per year. ELCA is well positioned to serve many international markets, but the window of opportunity will close quickly. Moreover, the real money is in the corporate market, which is much harder to access than the simple consumer play. Coursera made this jump, but it is fraught with peril."

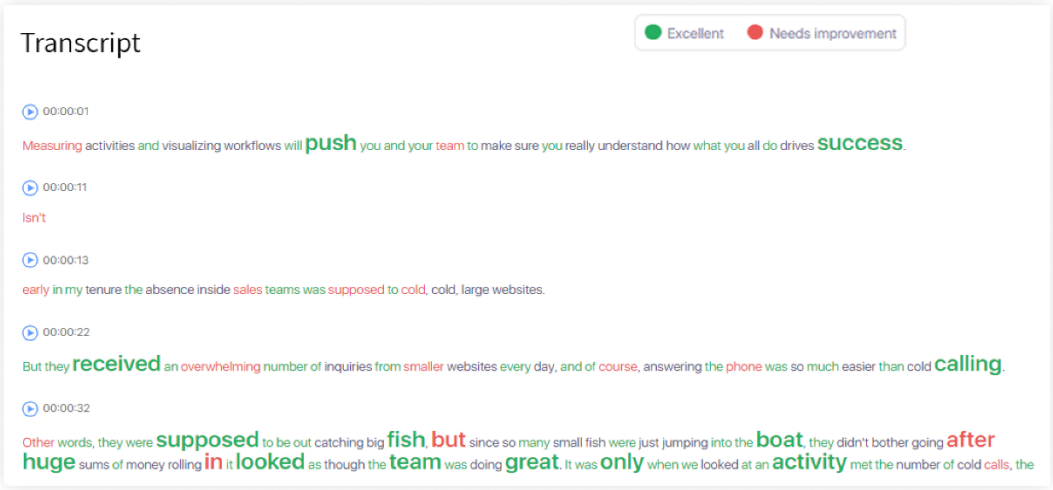
Decision Time

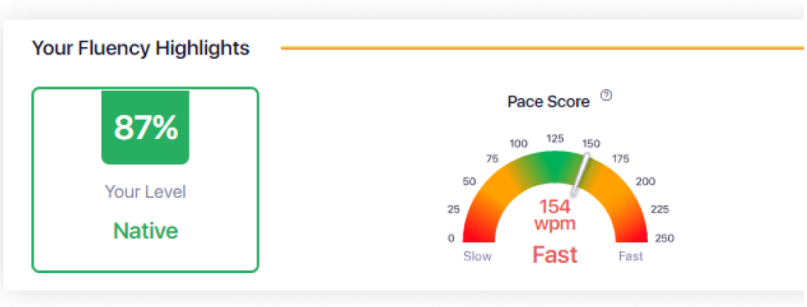
As Phong and Silva discussed the term sheets, ESV and STV portfolio company CEOs emailed a steady stream of praise about their respective VCs. Jeffries and Jackson texted "love bombs" to communicate their excitement for ELCA. Phong and Silva sipped their coffees and mentally tried to block out their phone alerts. Neither wanted to go back out on the fund-raising trail, and they worried momentum would be lost if they did not get back to their business. They had resolved to pick one deal and only negotiate on the most essential features. The question was: which one? Meanwhile, their phones kept ringing and chirping.

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Exhibit 1 Screen shots of ELCA app







Source: Company documents.

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Exhibit 2 Comparison of STV and ESV Term Sheets

STV	*ESV*
Pre-Money Valuation	
$18,000,000	$26,000,000
Investment Amount	
$6,000,000	$2,000,000 from ESV $2,000,000 from another VC firm
Employee Option Pool	
15% of the post-closing fully diluted capitalization. Four years of total vesting. 25% will vest after 12 months of employment. The remaining 75% will vest in equal monthly increments over the following 36 months.	20% of the post-closing fully diluted capitalization. Four years of total vesting. 25% will vest after 12 months of employment. The remaining 75% will vest in equal monthly increments over the following 36 months.
Founders' Vesting	
Founders will own stock outright subject to the Company's right to buy back 100% of shares at cost. This buyback right will lower to 75% 12 months after this financing; this further reduces in equal monthly increments over the following 36 months. For the avoidance of doubt, founders' stock will be on a four-year schedule. In a sale or other liquidity event, there will be no change to the buyback right. If a founder's employment is terminated, there will be no change to the buyback right.	Founders will own stock outright subject to the Company's right to buy back 100% of shares at cost. This buyback right will lower to 80% 12 months after this financing; this further reduces in equal monthly increments over the following 48 months. For the avoidance of doubt, founders' stock will be on a five-year schedule. In a sale or other liquidity event, the buyback right will become 0%. If a founder's employment is terminated, the buyback right will lapse by an additional 12 months.
Liquidation Preference	
Upon sale or other liquidity event, Series A investors are entitled, before any proceeds are paid to common stockholders, to collect their investment amount or, if greater, the amount that the Series A would receive on an as-converted basis.[a] The balance of any proceeds shall be distributed to common stockholders. ("Non-Participating Preferred").	Upon sale or other liquidity event, Series A investors are entitled, before any proceeds are paid to common stockholders, to collect their investment amount. Thereafter, the Series A preferred participates with common stockholders on an as-converted basis. ("Participating Preferred").
Board of Directors	
Board shall be comprised of four members: two seats appointed by the founders for as long as they are employed full-time at the company, one independent board member, and one seat appointed by the Investor.	Board shall be comprised of five members: two seats appointed by the founders, one independent board member, and two seats appointed by the Investors.

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STV	*ESV*
Voting Rights	
A majority of Preferred Stock shares is required to (a) change the authorized number of shares or (b) liquidate or dissolve the Company, including a Company sale.	All Preferred Stock shares are required to (a) change the authorized number of shares or (b) liquidate or dissolve the Company, including a Company sale.
Expiration	
This Term Sheet expires on August 10, 2023, 5 pm PT, if not accepted by the Company by then.	This Term Sheet expires on August 5, 2023, 5 pm PT, if not accepted by the Company by then.

Source: Casewriters.

[a] "On an as-converted basis" means that a shareholder would receive a payout based on their percentage ownership in the company. For example, if an investor owns 10% of a company that is sold for $100 million, the investor will receive $10 million.

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